Company registration number 00053703 (England and Wales)

THE READING FOOTBALL CLUB LIMITED

ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2025

THE READING FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	R E Couhig	(Appointed 14 May 2025)
	A Lundberg	(Appointed 14 May 2025)
	T P Trosclair	(Appointed 14 May 2025)
Secretary	C J Boyce	
Company number	00053703	
Registered office	Select Car Leasing Stadium Junction 11 M4 Reading RG2 0FL	
Auditor	BK Plus Audit Limited Oakingham House Frederick Place High Wycombe Buckinghamshire HP11 1JU	

THE READING FOOTBALL CLUB LIMITED

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THE READING FOOTBALL CLUB LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2025

The Directors present their report on the affairs of The Reading Football Club Limited and its subsidiaries ("the Group" or 'the Club"), together with the financial statements for the year ended 30 June 2025.

Background
The Club's Board of Directors is set out on page 4 along with details of appointments and resignations where applicable during the year.

The Chief Executive has responsibility, in close liaison with the Directors, for the day-to-day running and long-term operation of the Club and refers to the Board in regard to significant decisions affecting all aspects of the Club.

Financial Review
The Group reported a loss before tax for the year of £3.8m (2024: £13m). The loss for the year increases the deficit on the Club's profit and loss reserves.

Total turnover decreased by £0.2m from £10.0m to £9.8m principally because of a reduction in League distributions and grants offset by an increase in matchday revenues of £0.2m.

The core cost to the club is salary. During the year, salary costs have reduced to £12.4m from £15.8m in 2024.

During the year, amortisation, depreciation and impairment costs have decreased from £1.1m to £0.9m.

The profit on disposal of players' registrations comprised total profits of £9.5m (2024: £4m) generated from sale, appearance and sell-on clauses.

The group's net liabilities at the reporting date were £93.5m (2024: £90m). The movement being solely related to the loss for the year.

The Group was acquired by new ownership on 14 May 2025. The new owners are committed to supporting the club.

Principal risks and uncertainties
There are a number of potential risks and uncertainties which could have a material impact on the Club's long-term performance. These risks and uncertainties are monitored by the Board on a regular basis.

Income
The Club derives its income from three principal sources: gate receipts, league distributions, and commercial relationships.

All three sources of income are dependent on the performance of the first team and its appeal to football supporters. The performance of the first team is significantly influenced by the quality of the coaching staff and the players that the Club can attract in a highly competitive market both on the domestic and European levels.

Expenditure
In order to attract the talent which will continue to improve the performance of the first team, the Club continually invests in the playing staff by way of both transfers and wages.

Regulatory Environment
The Club is regulated by the rules of the FA, FAPL, UEFA and FIFA. These regulations have a direct impact on the Club as they cover areas such as the division of centrally negotiated television deals and the operation of the transfer market. The Club maintains staff whose roles include ensuring that the Club monitors the development of the rules and ensures compliance with them.

Funding
Funding is provided by the Club's owners. The Club reviews and updates its cash forecasts on a regular basis and keeps the owners aware of financial commitments.

Going Concern

The group's business activities, together with the factors likely to affect its future development and performance are set out above. The financial position of the group, its cash flows, liquidity position and borrowing are described in these financial statements. The Directors have prepared cash flow forecasts which indicate that the company will need additional funds over the next 12 months and have received satisfactory assurances from the Club's owners that the necessary funds will be provided.

Key performance indicators

The Club has a range of financial and non-financial performance indicators, as detailed below.

On-field performance for the 2024/25 season

EFL League One- 7th place
FA Cup- 3rd Round
EFL Cup- 1st Round

Revenue of The Reading Football Club Limited

Financial Year	Revenue (£m)
2024/25	9.8
2023/24	10.0
2022/23	18.7
2021/22	16.9
2020/21	13.8
2019/20	17.8
2018/19	21.0
2017/18	17.9
2016/17	36.7

Average match attendance

Season	Average Attendance
2024/25	10,645
2023/24	13,912
2022/23	14,027
2021/22	14,249
2020/21	N/A*
2019/20	12,684
2018/19	14,991

*Covid-19 restrictions – only 3 matches with spectators

Number of season ticket holders

Season	Number of Holders
2024/25	8,069
2023/24	7,941
2022/23	8,204
2021/22	8,364
2020/21	N/A*
2019/20	9,561
2018/19	10,052

*Covid-19 restrictions – only 3 matches with spectators

Matchday revenue

Season	Revenue (£m)
2024/25	4.3
2023/24	4.1
2022/23	4.8
2021/22	3.6
2020/21	0.6*
2019/20	3.6
2018/19	4.7

*Covid-19 restrictions – only 3 matches with spectators

Wages Costs

Wages costs to turnover ratio- 127% (2024: 158%)
Total wage cost- £12.4m (2024: £15.8m)

On behalf of the board

R E Couhig
Director

27 March 2026

THE READING FOOTBALL CLUB LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2025

The directors present their annual report and financial statements for the year ended 30 June 2025.

Principal activities
The principal activity of the company and group is the operation of a professional football team.

Results and dividends
The results for the year are set out on page 10.

No ordinary dividends were paid. The directors do not recommend payment of a further dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

R E Couhig	(Appointed 14 May 2025)
A Lundberg	(Appointed 14 May 2025)
T P Trosclair	(Appointed 14 May 2025)
Y Dai	(Resigned ´4 May 2025)
X L Hawken	(Resigned ´4 May 2025)
N Niruttinanon	(Resigned ´4 May 2025)
D Pang	(Resigned ´4 May 2025)

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the group continues and that the appropriate training is arranged. It is the policy of the group that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employee involvement
The group's policy is to consult and discuss with employees, through unions, staff councils and at meetings, matters likely to affect employees' interests.

Information about matters of concern to employees is given through information bulletins and reports which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the group's performance.

There is no employee share scheme at present, but the directors are considering the introduction of such a scheme as a means of further encouraging the involvement of employees in the company's performance.

Auditor
BK Plus Audit Limited were appointed as auditor to the group and in accordance with section 485 of the Companies Act 2006, a resolution proposing that they be re-appointed will be put at a General Meeting.

Energy and carbon report
The Group continues to work with consultants, Carbonyearn, to introduce methods for reducing annual energy usage. In August 2020, the Club opened a new training ground facility at Bearwood Park and increased activity at this site by including the Women's team as well as the Men's first team and Academy. The new training ground has purpose-built buildings rather than old training ground and Hogwood Park buildings. The new facility has far greater facilities than before and incorporates energy-saving measures.

The new facility has gas heaters in its underground heating and cooling system. Heating is applied only where necessary at the Club. There is a hydrotherapy pool and one of the new pitches has undersoil heating added. There are also all-weather pitches at Bearwood Park. Within the energy facility there is a Combined Heat and Power unit producing 50 kWh of electricity, continuously powered by LPG. This reduction is seen partly due to increased energysaving devices such as PIR switching, LED lighting upgrades and reduced use of air conditioning, as well as increased use of video conferencing and staff working from home where possible.

The Club continues to introduce waterless urinals and power-down concourse bars when not in use between matches.

The street lighting is programmed to switch off at midnight. The Stadium Grow lighting system has upgraded the lamps to a more energyefficient type.

Waste is split for recycling, with cardboard, paper, glass, grass and food waste collected separately from general waste. General waste is taken to an energyfromwaste plant as opposed to landfill.

The irrigation system at Bearwood Park draws water from a borehole sunk into the chalk strata approximately 80 metres below the surface.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the auditor of the company is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the auditor of the company is aware of that information.

On behalf of the board

R E Couhig
Director

26 March 2026

THE READING FOOTBALL CLUB LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2025

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

United Kingdom company law requires the directors to prepare financial statements for each financial year. Under that law, the directors have elected to prepare the group and parent company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and parent company, and of the profit or loss of the group for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable United Kingdom Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and parent company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and parent company's transactions and disclose with reasonable accuracy at any time the financial position of the group and parent company, and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and parent company, and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

THE READING FOOTBALL CLUB LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF THE READING FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of The Reading Football Club Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 30 June 2025 which comprise the group profit and loss account, the group statement of comprehensive income, the group balance sheet, the company balance sheet, the group statement of changes in equity, the company statement of changes in equity, the group statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 30 June 2025 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- The information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- The strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the group's and parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or parent company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Extent to which the audit was considered capable of detecting irregularities, including fraud

From the preliminary stage of the audit, we ensure our understanding of the entity is up to date. This includes, but is not limited to, current knowledge of their activities, the business and control environments, and their compliance with the applicable legal and regulatory frameworks. This information supports our risk identification and the subsequent design of audit procedures to mitigate those risks; ensuring that the audit evidence obtained is sufficient and appropriate to support our opinion.

In response to the risks identified, specific to this entity, we designed procedures which included, but were not limited to:

- Enquiry of management and those charged with governance around actual and potential litigation and claims;
- Reviewing minutes of meetings of those charged with governance, if available;
- Reviewing financial statements disclosures and testing to supporting documentation to assess compliance with applicable laws and regulations;
- Auditing the risk of management override of controls, including through testing journal entries and other adjustments for appropriateness, and evaluating the business rationale for significant transactions outside the normal course of business.

There are inherent limitations in the audit procedures described above and the further removed non-compliance with laws and regulations are from the events and transactions reflected in the financial statements, the less likely we would become aware of it. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusions. There is always the unavoidable risks that material misstatements in the financial statements may not be detected despite the audit being properly performed in accordance with UK Auditing standards.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

David Hynes (Senior Statutory Auditor)
For and on behalf of BK Plus Audit Limited
Statutory Auditor

Oakingham House
Frederick Place
High Wycombe
Buckinghamshire
HP11 1JU

27 March 2026

THE READING FOOTBALL CLUB LIMITED

GROUP PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30 JUNE 2025

	Notes	2025 £	2024 As restated £
Turnover	**3**	9,805,651	10,001,548
Cost of sales		(9,007,349)	(10,706,194)
Gross profit/(loss)		798,302	(704,646)
Administrative expenses		(14,067,757)	(16,263,093)
Profit on disposal of player registration		9,508,267	3,989,783
Operating loss	**4**	(3,761,188)	(12,977,956)
Interest receivable and similar income	**8**	17,357	193
Interest payable and similar expenses	**9**	(138,204)	(86,674)
Loss before taxation		(3,882,035)	(13,064,437)
Tax on loss	**10**	-	-
Loss for the financial year		(3,882,035)	(13,064,437)

Loss for the financial year is all attributable to the owners of the parent company.

The profit and loss account has been prepared on the basis that all operations are continuing operations.

THE READING FOOTBALL CLUB LIMITED

GROUP STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2025

	2025 £	2024 £
Loss for the year	(3,882,035)	(13,064,437)
Other comprehensive income	-	-
Total comprehensive income for the year	(3,882,035)	(13,064,437)

Total comprehensive income for the year is all attributable to the owners of the parent company.

THE READING FOOTBALL CLUB LIMITED

GROUP BALANCE SHEET

AS AT 30 JUNE 2025

	Notes	2025 £	2025 £	2024 £	2024 £
Fixed assets					
Tangible assets	**11**		39,798,405		40,676,035
			39,798,405		40,676,035
Current assets					
Debtors falling due after more than one year	**15**	270,000		135,000	
Debtors falling due within one year	**15**	1,793,157		3,932,318	
Cash at bank and in hand		267,164		716,377	
		2,330,321		4,783,695	
Creditors: amounts falling due within one year	**16**	(5,102,063)		(135,135,186)	
Net current liabilities			(3,041,742)		(130,486,491)
Total assets less current liabilities			37,026,663		(89,675,456)
Creditors: amounts falling due after more than one year	**17**		(130,595,139)		(10,985)
Net liabilities			(93,568,476)		(89,686,441)
Capital and reserves					
Called up share capital	**20**		122,803,005		122,803,005
Share premium account	**21**		11,847,892		11,847,892
Profit and loss reserves			(228,219,373)		(224,337,338)
Total equity			(93,568,476)		(89,686,441)

The financial statements were approved by the board of directors and authorised for issue on 27 March 2026 and are signed on its behalf by:

R E Couhig
Director

Company registration number 00053703 (England and Wales)

THE READING FOOTBALL CLUB LIMITED

COMPANY BALANCE SHEET

AS AT 30 JUNE 2025

	Notes	2025 £	2025 £	2024 £	2024 £
Fixed assets					
Tangible assets	**11**		131,898		218,139
Investments	**12**		2		2
			131,900		218,141
Current assets					
Debtors falling due after more than one year	**15**	12,892,425		135,000	
Debtors falling due within one year	**15**	1,793,157		16,554,613	
Cash at bank and in hand		267,164		716,377	
		14,952,746		17,405,990	
Creditors: amounts falling due within one year	**16**	(5,102,063)		(108,563,171)	
Net current liabilities			(3,041,742)		(91,292,181)
Total assets less current liabilities			(2,909,842)		(91,074,040)
Creditors: amounts falling due after more than one year	**17**		(104,109,226)		(10,985)
Net liabilities			(94,126,643)		(90,950,025)
Capital and reserves					
Called up share capital	**20**		122,803,005		122,803,005
Share premium account	**21**		11,847,892		11,847,892
Profit and loss reserves			(228,777,540)		(225,600,922)
Total equity			(94,126,643)		(90,950,025)

As permitted by section 408 of the Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's loss for the year was £3,176,618 (2024 - £12,373,973 loss).

The financial statements were approved by the board of directors and authorised for issue on 27 March 2026 and are signed on its behalf by:

R E Couhig
Director

Company registration number 00053703 (England and Wales)

THE READING FOOTBALL CLUB LIMITED

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2025

	Share capital	Share premium account	Profit and loss reserves	Total
	£	£	£	£
Balance at 1 July 2023	122,803,005	11,847,892	(211,272,901)	(76,622,004)
Year ended 30 June 2024:				
Loss and total comprehensive income	-	-	(13,064,437)	(13,064,437)
Balance at 30 June 2024	122,803,005	11,847,892	(224,337,338)	(89,686,441)
Year ended 30 June 2025:				
Loss and total comprehensive income	-	-	(3,882,035)	(3,882,035)
Balance at 30 June 2025	122,803,005	11,847,892	(228,219,373)	(93,568,476)

THE READING FOOTBALL CLUB LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2025

	Share capital	Share premium account	Profit and loss reserves	Total
	£	£	£	£
Balance at 1 July 2023	122,803,005	11,847,892	(213,226,949)	(78,576,052)
Year ended 30 June 2024:				
Profit and total comprehensive income	-	-	(12,373,973)	(12,373,973)
Balance at 30 June 2024	122,803,005	11,847,892	(225,600,922)	(90,950,025)
Year ended 30 June 2025:				
Profit and total comprehensive income	-	-	(3,176,618)	(3,176,618)
Balance at 30 June 2025	122,803,005	11,847,892	(228,777,540)	(94,126,643)

THE READING FOOTBALL CLUB LIMITED

GROUP STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2025

	Notes	2025 £	2025 £	2024 £	2024 £
Cash flows from operating activities					
Cash absorbed by operations	**29**		(21,230,637)		(16,169,649)
Interest paic			(138,204)		(86,674)
Net cash outflow from operating activities			(21,368,841)		(16,256,323)
Investing activities					
Proceeds from disposal of player registrations		9,508,267		3,989,783	
Purchase of tangible fixed assets		(13,277)		(125,337)	
Interest received		17,357		193	
Net cash generated from investing activities			9,512,347		3,864,639
Financing activities					
Proceeds from new loans		11,415,035		12,895,417	
Payment of finance leases obligations		(7,754)		(7,754)	
Net cash generated from financing activities			11,407,281		12,887,663
Net (decrease)/increase in cash and cash equivalents			(449,213)		495,979
Cash and cash equivalents at beginning of year			716,377		220,398
Cash and cash equivalents at end of year			267,164		716,377

1 Accounting policies

Company information

The Reading Football Club Limited ("the company") is a private limited company domiciled and incorporated in England and Wales. The registered office is Select Car Leasing Stadium, Junction 11, M4, Reading, RG2 0FL.

The group consists of The Reading Football Club Limited and all of its subsidiaries.

1.1 Basis of preparation

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention, modified to include the revaluation of freehold properties. The principal accounting policies adopted are set out below.

1.2 Business combinations

In the parent company financial statements, the cost of a business combination is the fair value at the acquisition date of the assets given, equity instruments issued and liabilities incurred or assumed, plus costs directly attributable to the business combination. Provisional fair values recognised for business combinations in previous periods are adjusted retrospectively for final fair values determined in the 12 months following the acquisition date. Investments in subsidiaries are accounted for at cost less impairment.

1.3 Basis of consolidation

The consolidated group financial statements consist of the financial statements of the parent company, The Reading Football Club Limited together with all entities controlled by the parent company (its subsidiaries).

All financial statements are made up to 30 June 2025. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the g roup.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

Subsidiaries are consolidated in the group's financial statements from the date that control commences until the date that control ceases.

1.4 Going concern

The financial statements have been prepared on a going concern basis. In making this assessment, the directors have prepared detailed cash flow forecasts for the Club which cover the period to 30 June 2027. These forecasts reflect the Club's expected operating performance, including forecast trading losses, playerrelated expenditure, overhead costs and working capital requirements.

The Club has a history of operating losses and remains dependent on the ongoing financial support of its principal shareholders. The principal shareholders have confirmed their intention to continue to support the Club financially, as required, for a period of at least 12 months from the date of approval of these financial statements, thereby ensuring that the Club is able to meet its liabilities as they fall due.

Taking the above factors into account, the directors have a reasonable expectation that the Club has adequate resources to continue in operational existence for the foreseeable future. Accordingly, the directors continue to adopt the going concern basis in preparing the financial statements.

1 Accounting policies **(Continued)**

1.5 Revenue

Turnover, which excludes value added tax, represents receipts and all other income associated with the company's principal activity, excluding fees receivable from other football clubs on the transfer of players' registrations.

Match day receipts are stated after deducting the percentage based payments to The Football Association, The Football League and visiting clubs. This revenue is recognised over the course of the football season as the games are played.

Broadcasting fees are recognised over the course of the season as the games are played. The fixed element of broadcasting income is recognised over the course of the playing season.

Sponsorship and similar commercial income is recognised over the duration of respective contracts.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer (usually on dispatch of the goods), the amount of revenue can be measured reliably, it is probable that the economic benefits associated with the transaction will flow to the entity and the costs incurred or to be incurred in respect of the transaction can be measured reliably.

1.6 Intangible fixed assets other than goodwill

The element of a player's transfer fee which relates to registration, together with associated costs, is capitalised as an intangible asset and amortised as follows:

Players' contracts	Over the period of players' contracts, including any subsequent agreed extensions

No provision is made for the value of players developed within the company.

Conditional amounts receivable in respect of players transferred are accounted for in the year in which the condition is met. Loyalty bonuses are included within direct operating costs in the year of payment.

Profit on disposal of players' registrations is recognised when the registration rights of a player are transferred to another club and the significant risks and rewards of ownership have passed. The profit is calculated as the difference between the transfer fee received (or receivable) and the carrying amount of the player's registration at the date of disposal.

1.7 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land and buildings	2% straight line
Fixtures, fittings and equipment	20% straight line and 25% reducing balance

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the profit and loss account.

1 Accounting policies **(Continued)**

1.8 Fixed asset investments

Equity investments are measured at fair value through profit or loss, except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably, which are recognised at cost less impairment until a reliable measure of fair value becomes available.

In the parent company financial statements, investments in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

1.9 Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The carrying amount of the investments accounted for using the equity method is tested for impairment as a single asset. Any goodwill included in the carrying amount of the investment is not tested separately for impairment.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.10 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1 Accounting policies **(Continued)**

1.11 Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's balance sheet when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of mpairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the group's contractual obligations expire or are discharged or cancelled.

1.12 Equity instruments

Equity instruments issued by the group are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

1.13 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.14 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1 Accounting policies **(Continued)**

1.15 Leases

As lessee

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

1.16 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Fixed asset impairment

The directors assess whether there are indicators of impairment of tangible and intangible fixed assets at each reporting date. Where required, the recoverable amount of the relevant cashgenerating units is determined as the higher of value in use and fair value less costs to sell, and compared to the carrying value. The assessment involves estimates of future cash flows and marketbased assumptions. Changes in these assumptions could result in a material adjustment in future periods.

Sales ledger debt provision

Judgement is required in assessing the recoverab lity of trade and other receivables and determining the appropriate level of impairment provision. This assessment considers the age of balances, counterparty credit risk and the status of any disputes or recovery actions. Actual recoveries may differ from estimates.

2 **Judgements and key sources of estimation uncertainty** **(Continued)**

Player transfer costs

Judgement is required in determining whether liabilities arising from player transfer agreements should be recognised at the reporting date. This includes assessing the likelihood of contingen: consideration becoming payable based on future events such as league status or player appearances. Judgements are made on a playerbyplayer basis and outcomes may differ depending on future events.

Depreciation, amortisation and useful lives

Estimates are required in determining the useful economic lives of tangible fixed assets and intangible assets, including player registrations, for depreciation and amortisation purposes. Player registrations are amortised over the term of the relevant contracts. Changes in estimates could result in a material adjustment to charges in future periods.

Deferred tax asset

Deferred tax assets are recognised to the extent that it is probable that sufficient future taxable profits will be available against which the assets can be utilised. Management applies judgement in assessing the recoverability of deferred tax assets, having regard to forecast taxable profits and the period over which losses or timing differences can be relieved. Estimation uncertainty arises because changes in future profitability or tax legislation could result in amounts recognised differing from those ultimately realised. At the reporting date, management have assessed that no deferred tax asset requires recognition.

Litigation provision

Provisions are recognised in respect of litigation where the Company has a present obligation as a result of past events and it is probable that an outflow of economic benefits will be required to settle the obligation. Management applies judgement in assessing the likelihood of an adverse outcome and the estimation of the associated liability, based on the facts of each case and, where appropriate, legal advice. Estimation uncertainty arises because the timing and amount of any settlement may differ from management's expectations.

3 **Turnover and other revenue**

The group has one main business segment, that of professional football operations. As a result, no additional business segment information is required to be provided. The group operates in one geographical location, the United Kingdom, and accordingly, no additional geographical information is required to be provided.

An analysis of the group's turnover is as follows:

	2025	2024
	£	£
Turnover analysed by class of business		
Media and broadcasting	2,449,139	3,122,934
Matchday receipts	4,268,177	4,103,582
Commercial income	2,986,196	3,111,419
Other income	102,138	442,511
	9,805,651	10,001,548

	2025	2024
	£	£
Other revenue		
Interest income	17,357	193

4 Operating loss

	2025	2024
	£	£
Operating loss for the year is stated after charging:		
Depreciation of tangible fixed assets	886,012	1,125,587
Depreciation of tangible fixed assets held under finance leases	4,895	6,527
Operating lease charges	1,508,752	1,554,987

5 Auditor's remuneration

	2025	2024
Fees payable to the company's auditor and associates:	£	£
For audit services		
Audit of the financial statements of the group and company	20,000	26,000
For other services		
All other non-audit services	9,300	19,000

6 Employees

The average monthly number of persons (including directors) employed by the group and company during the year was:

	Group		Company	
	2025	2024	2025	2024
	Number	Number	Number	Number
Players	50	76	50	51
Football management and coaching staff	83	84	83	84
Administrative staff	43	52	43	52
Staff employed under government training schemes	15	21	15	21
Matchday staff	93	80	93	80
Total	284	313	284	288

Their aggregate remuneration comprised:

	Group		Company	
	2025	2024	2025	2024
	£	£	£	£
Wages and salaries	11,031,245	14,246,943	11,031,245	14,246,943
Social security costs	1,250,202	1,424,104	1,250,202	1,424,104
Pension costs	126,479	146,910	126,479	146,910
	12,407,926	15,817,957	12,407,926	15,817,957

7 Directors' remuneration

	2025	2024
	£	£
Remuneration for qualifying services	304,821	296,325
Company pension contributions to defined contribution schemes	2,503	2,642
	307,324	298,967

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 2 (2024 - 2).

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2025	2024
	£	£
Remuneration for qualifying services	232,911	212,325

8 Interest receivable and similar income

	2025	2024
	£	£
Interest income		
Other interest income	17,357	193

9 Interest payable and similar expenses

	2025	2024
	£	£
Interest on financial liabilities measured at amortised cost:		
Other interest on financial liabilities	107,940	13,930
Other finance costs:		
Interest on finance leases and hire purchase contracts	3,857	2,065
Other interest	26,407	70,679
Total finance costs	138,204	86,674

10 Taxation

The actual charge for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2025	2024
	£	£
Loss before taxation	(3,882,035)	(13,064,437)
Expected tax credit based on the standard rate of corporation tax in the UK of 25.00% (2024: 25.00%)	(970,509)	(3,266,109)
Tax effect of expenses that are not deductible in determining taxable profit	20,447	173,806
Tax effect of income not taxable in determining taxable profit	-	(163,857)
Unutilised tax losses carried forward	739,381	2,981,020
Depreciation in the year in excess of capital allowances	215,409	267,769
Pensions adjustment	(4,728)	7,371
Taxation charge	-	-

11 Tangible fixed assets

Group	Freehold land and buildings	Fixtures, fittings and equipment	Total
	£	£	£
Cost			
At 1 July 2024	43,829,963	1,916,327	45,746,290
Additions	-	13,277	13,277
Disposals	-	(429,192)	(429,192)
At 30 June 2025	43,829,963	1,500,412	45,330,375
Depreciation and impairment			
At 1 July 2024	3,372,067	1,698,188	5,070,255
Depreciation charged in the year	791,389	99,518	890,907
Eliminated in respect of disposals	-	(429,192)	(429,192)
At 30 June 2025	4,163,456	1,368,514	5,531,970
Carrying amount			
At 30 June 2025	39,666,507	131,898	39,798,405
At 30 June 2024	40,457,896	218,139	40,676,035

11 Tangible fixed assets **(Continued)**

Company	Fixtures, fittings and equipment
	£
Cost	
At 1 July 2024	1,916,327
Additions	13,277
Disposals	(429,192)
At 30 June 2025	1,500,412
Depreciation and impairment	
At 1 July 2024	1,698,188
Depreciation charged in the year	99,518
Eliminated in respect of disposals	(429,192)
At 30 June 2025	1,368,514
Carrying amount	
At 30 June 2025	131,898
At 30 June 2024	218,139

Included within tangible fixed assets are assets held under finance leases or hire purchase contracts, as follows:

	Group		Company	
	2025	2024	2025	2024
	£	£	£	£
Fixtures, fittings and equipment	14,685	19,580	14,685	19,580

12 Fixed asset investments

	Notes	Group		Company	
		2025	2024	2025	2024
		£	£	£	£
Investments in subsidiaries	13	-	-	2	2

12 Fixed asset investments (Continued)

Movements in fixed asset investments

Company	Shares in subsidiaries £
Cost or valuation	
At 1 July 2024 and 30 June 2025	2
Carrying amount	
At 30 June 2025	2
At 30 June 2024	2

13 Subsidiaries

Details of the company's subsidiaries at 30 June 2025 are as follows:

Name of undertaking	Registered office	Nature of business	Class of shares held	% Held Direct
Reading Women's Football Club Limited	England and Wales	Dormant company	Ordinary shares	100.00
RFC Bearwood Limited	England and Wales	Ownership and holding of land and buildings	Ordinary shares	100.00

The company is the sole member and guarantor of Reading FC Community Trust (charity number: 1125817, company number: 06333232). The Trust is governed by a trust deed which restricts the application of its income and property solely to the furtherance of its charitable objects. Under the governing document, no part of the income or property of the Trust may be transferred, directly or indirectly, to the company.

Although the company is the sole member of the Trust, the directors consider that the company does not have control over the Trust as defined by FRS 102, as it does not have the ability to obtain benefits from the Trust or direct its activities for its own economic benefit.

Accordingly, Reading FC Community Trust does not meet the definition of a subsidiary under FRS 102 and has not been included within the consolidated group.

14 Financial instruments

	Group		Company	
	2025 £	2024 £	2025 £	2024 £
Carrying amount of financial assets include:				
Debt instruments measured at amortised cost	1,899,096	2,634,793	14,521,521	15,257,088
Carrying amount of financial liabilities include:				
Measured at amortised cost	132,810,326	132,433,972	106,324,413	105,861,957

15 Debtors

	Group		Company	
	2025	2024	2025	2024
Amounts falling due within one year:	£	£	£	£
Trade debtors	614,554	820,585	614,554	786,889
Player registrations	1,013,000	1,679,078	1,013,000	1,679,078
Amounts owed by group undertakings	-	-	-	12,656,121
Other debtors	1,542	130	1,542	-
Prepayments and accrued income	164,061	1,432,525	164,061	1,432,525
	1,793,157	3,932,318	1,793,157	16,554,613
Amounts falling due after more than one year:				
Player registrations	270,000	135,000	270,000	135,000
Amounts owed by group undertakings	-	-	12,622,425	-
	270,000	135,000	12,892,425	135,000
Total debtors	2,063,157	4,067,318	14,685,582	16,689,613

16 Creditors: amounts falling due within one year

		Group		Company	
		2025	2024	2025	2024
	Notes	£	£	£	£
Obligations under finance leases	19	7,754	7,754	7,754	7,754
Loans from related parties	18	-	92,690,960	-	92,690,960
Trade creditors		1,456,114	3,971,396	1,456,114	3,971,396
Amounts owed to group undertakings		-	26,485,913	-	-
Other taxation and social security		528,997	715,264	528,997	715,264
Deferred income		2,346,894	1,978,196	2,346,894	1,978,196
Other creditors		102,218	136,713	102,218	50,611
Accruals and deferred income		660,086	9,148,990	660,086	9,148,990
		5,102,063	135,135,186	5,102,063	108,563,171

17 Creditors: amounts falling due after more than one year

		Group		Company	
		2025	2024	2025	2024
	Notes	£	£	£	£
Obligations under finance leases	19	3,231	10,985	3,231	10,985
Other borrowings	18	104,105,995	-	104,105,995	-
Amounts owed to group undertakings		26,485,913	-	-	-
		130,595,139	10,985	104,109,226	10,985

18 Loans and overdrafts

	Group		Company	
	2025	2024	2025	2024
	£	£	£	£
Loans from related parties	104,105,995	86,770,742	104,105,995	86,770,742
Other loans	-	5,920,218	-	5,920,218
	104,105,995	92,690,960	104,105,995	92,690,960
Payable within one year	-	92,690,960	-	92,690,960
Payable after one year	104,105,995	-	104,105,995	-

The loans from related parties are secured by fixed charges over all property of the group.

19 Finance lease obligations

	Group		Company	
	2025	2024	2025	2024
	£	£	£	£
Future minimum lease payments due under finance leases:				
Within one year	7,754	7,754	7,754	7,754
In two to five years	3,231	10,985	3,231	10,985
	10,985	18,739	10,985	18,739

Certain fixtures, fittings and equipment are held under finance lease arrangements. Finance lease liabilities are secured by the assets held under these finance leases.

20 Share capital

Group and company	2025	2024	2025	2024
Ordinary share capital	Number	Number	£	£
Issued and fully paid				
Ordinary shares of 50p each	245,606,010	245,606,010	122,803,005	122,803,005

The company has one class of ordinary shares. Each share is entitled to one vote in any circumstances, equal rights to dividends, entitles the holder to participate in a distribution including arising from a winding up of the company and are non-redeemable.

21 Share premium account

	Group		Company	
	2025	2024	2025	2024
	£	£	£	£
At the beginning and end of the year	11,847,892	11,847,892	11,847,892	11,847,892

Share premium account includes any premiums received on issue of share capital. Any transaction costs associated with the issuing of shares are deducted from share premium.

22 Retirement benefit schemes

	2025	2024
Defined contribution schemes	£	£
Charge to profit or loss in respect of defined contribution schemes	126,479	146,910

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

Defined benefit scheme

Certain ex-employees of the company are members of The Football League Pension and Life Assurance Scheme, a defined benefit scheme. The scheme is a multi-employer scheme in which the football club no longer actively participates. The football league arranges actuarial valuations every three years and the club is informed of its share of liabilities and payments due over the next three years. As the club is unable to independently identify its own share of assets and liabilities, it treats and discloses the scheme as a defined contribution scheme under the provisions of FRS 102.

The latest actuarial valuation of the scheme reported that here was a deficit of £20.6m as at 31 August 2023. This is being repaid by increased contributions in the years to 2027. The club's share of the deficit has not been recognised in the financial statements as the balance in not material.

23 Operating lease commitments

As lessee

Operating lease payments include rentals payable by the company for the use of the Select Car Leasing Stadium. The charge is £1,500,000 per annum until 28 June 2043.

At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group		Company	
	2025	2024	2025	2024
	£	£	£	£
Within 1 year	1,532,991	1,537,194	1,532,991	1,537,194
Years 2-5	6,003,708	6,012,461	6,003,708	6,012,461
After 5 years	19,500,000	21,000,000	19,500,000	21,000,000
	27,036,699	28,549,655	27,036,699	28,549,655

24 Financial commitments, guarantees, contingent liabilities and contingent income

Under the terms of certain contracts for the purchase of player's registrations, future payments may be due dependent on the future success of the player/team and/or future team selection of individual players. The maximum un-provided liability which may arise as at 30 June 2025 is £0 (2024: £220,000). In addition, under the terms attached to the purchase of certain players' registrations, an amount may become payable to the previous club on any subsequent sale of the players' registration. This is normally expressed as a percentage of the subsequent transfer fee received in excess of the original transfer fee paid. The same is true for sale of certain player's registrations that Club has made. Due to its unpredictable nature, the amount in respect of these cannot be quantified.

25 Events after the reporting date

Since the year-end, the company has acquired three players' registrations other than free transfers (2024: No players). The total fees paid under the terms of the three transfers to date is £761,250 (2024: £nil).

Since the year-end, the company has disposed of three players' registrations other than free transfers. The total fees received under the terms of the transfers to date is £1,800,000.

26 Related party transactions

Remuneration of key management personnel

Key management personnel include all directors of the company who together have authority and responsibility for planning, directing and controlling the activities of the company. The remuneration of key management personnel is as follows.

	2025 £	2024 £
Aggregate compensation	578,914	438,792

Other related party transactions

The company has taken advantage of the exemption available in accordance with FRS 102 not to disclose transactions entered into between two or more members of a group, as the company is a wholly owned subsidiary undertaking of the group to which it is party to the transactions.

During the year, the company incurred costs of £1,500,000 (2024: £1,500,000) in relation to the lease of the Select Car Leasing Stadium from a related entity.

During the year, a director advanced a £105,000 loan to the company. This was entirely repaid at the reporting date.

27 Controlling party

The immediate parent company is Redwood Holdings 1 Ltd, a company registered in England and Wales, with registered address at Select Car Leasing Stadium, Junction 11, M4, Reading, England, RG2 0FL.

The ultimate parent company is Dogwood Football LLC, a company registered in America. The registered address of Dogwood Football LLC is 66 Spanish Fort Blvd, New Orleans, LA 70124, United States.

The ultimate controlling party is Robert Couhig, who controls the ultimate parent Dogwood Football LLC.

28 Prior period adjustment

Comparative figures have been restated following the identification of a prior year classification error. Costs of £10,706,194 previously included within administrative expenses have been reclassified to cost of sales. The adjustment has no impact on profit, equity, or cash flows.

29 Cash absorbed by group operations

	2025	2024
	£	£
Loss after taxation	(3,882,035)	(13,064,437)
Adjustments for:		
Finance costs	138,204	86,674
Investment income	(17,357)	(193)
Profit on disposal of player registrations	(9,508,267)	(3,989,783)
Depreciation and impairment of tangible fixed assets	890,907	1,132,114
Movements in working capital:		
Decrease in debtors	2,004,161	13,600,008
Decrease in creditors	(11,224,948)	(13,365,823)
Increase/(decrease) in deferred income	368,698	(568,209)
Cash absorbed by operations	(21,230,637)	(16,169,649)

30 Analysis of changes in net debt - group

	1 July 2024	Cash flows	30 June 2025
	£	£	£
Cash at bank and in hand	716,377	(449,213)	267,164
Borrowings excluding overdrafts	(92,690,960)	(11,415,035)	(104,105,995)
Obligations under finance leases	(18,739)	7,754	(10,985)
	(91,993,322)	(11,856,494)	(103,849,816)

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